

$$1 = (1 + \delta \text{€STR}) DF(T_{1j})$$

$$DF(T_{1j}) = \frac{1}{1 + \delta \text{€STR}}$$

$$\delta = \frac{1}{360}$$

$$DF(T) = \frac{1}{(1 + r(T))^T}$$

$$r(T) = \left(\frac{1}{DF(T)} \right)^{\frac{1}{T}} - 1$$

$$12 \times 18$$

$$DF(T_{2j}) \approx \frac{1}{1 + \delta \text{€STR} \times \frac{2}{360}}$$

$$5\% / 10\% \approx 5\% \times 15\%$$

$$DF(T) = e^{-r(T)T}$$

$$e^{r(T_1)T_1} e^{r_{fwd}(T_2 - T_1)} = e^{r(T_2)T_2}$$

$$r_{fwd} = \frac{r(T_2)T_2 - r(T_1)T_1}{T_2 - T_1}$$

$$= \frac{2\% \times 2 - 1\% \times 1}{2 - 1} = 3\%$$